

Sales Performance Insights Report

Superstore Sales Analysis | 2015–2018 | Data Analytics Internship — Task 1

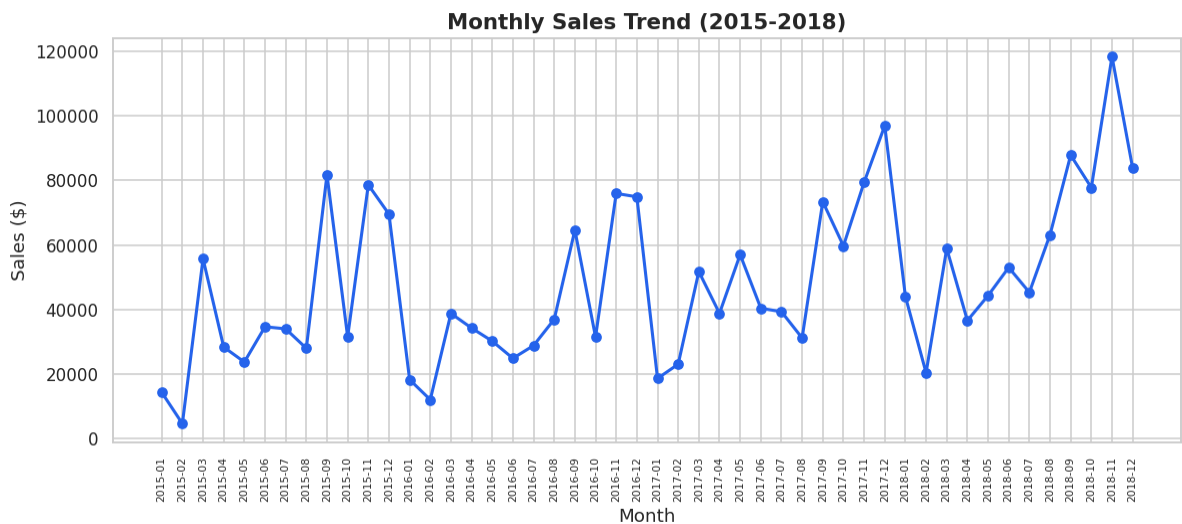
\$2.30M	\$286K	12.5%	5,009	\$458.61
Total Sales	Total Profit	Profit Margin	Total Orders	Avg Order Value

Executive Summary

This report analyzes 9,994 order line items from the Sample Superstore dataset (2015–2018) to identify revenue trends, top-performing products, customer purchasing behavior, and regional sales performance. The business generated \$2.30M in total sales at a 12.5% overall profit margin across 5,009 orders and 793 unique customers. While overall revenue grew steadily year over year, the analysis surfaces specific profitability risks — particularly around discounting practices and underperforming product lines — that merit management attention.

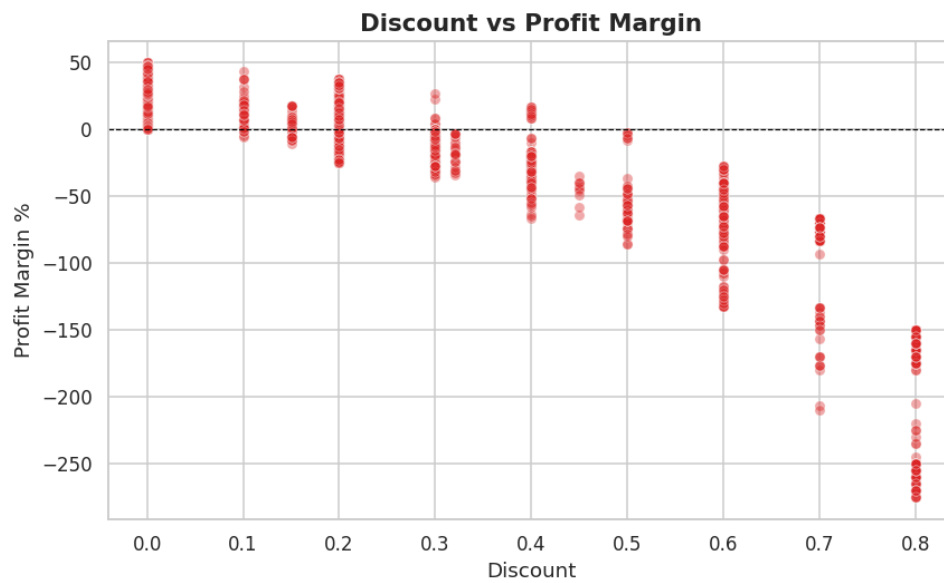
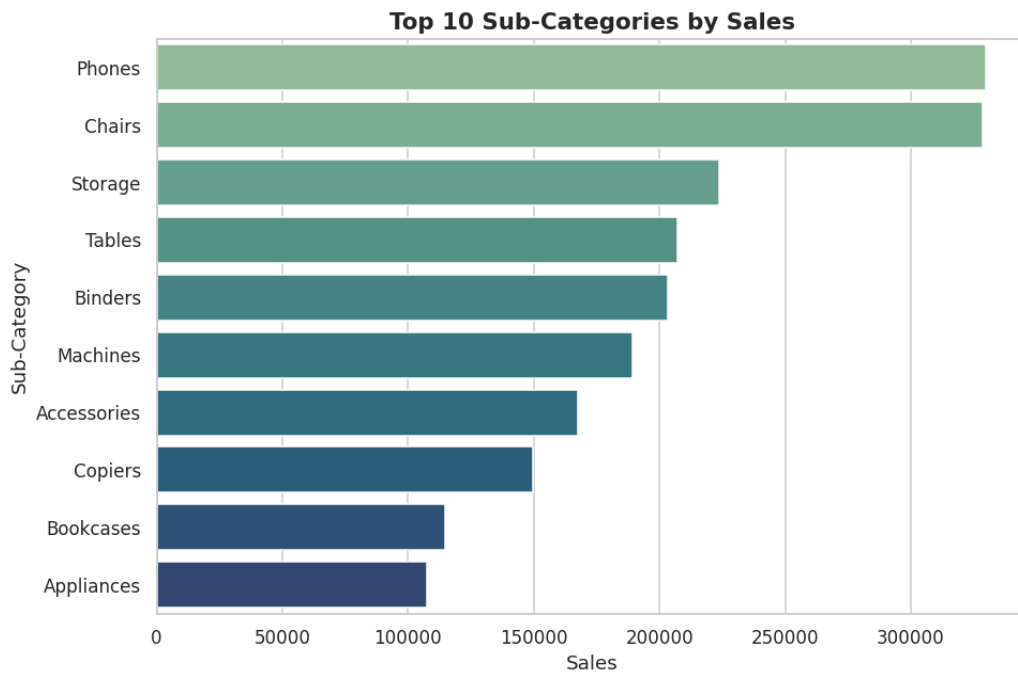
1. Revenue Trend Analysis

Sales grew from \$484K in 2015 to \$733K in 2018 — a compound increase of over 50% across the period, with 2017 and 2018 showing especially strong year-over-year growth of 29.5% and 20.4% respectively. The monthly trend reveals a consistent and pronounced seasonal spike every Q4 (October–December), driven by holiday shopping demand, followed by a sharp dip each January.



2. Product Performance

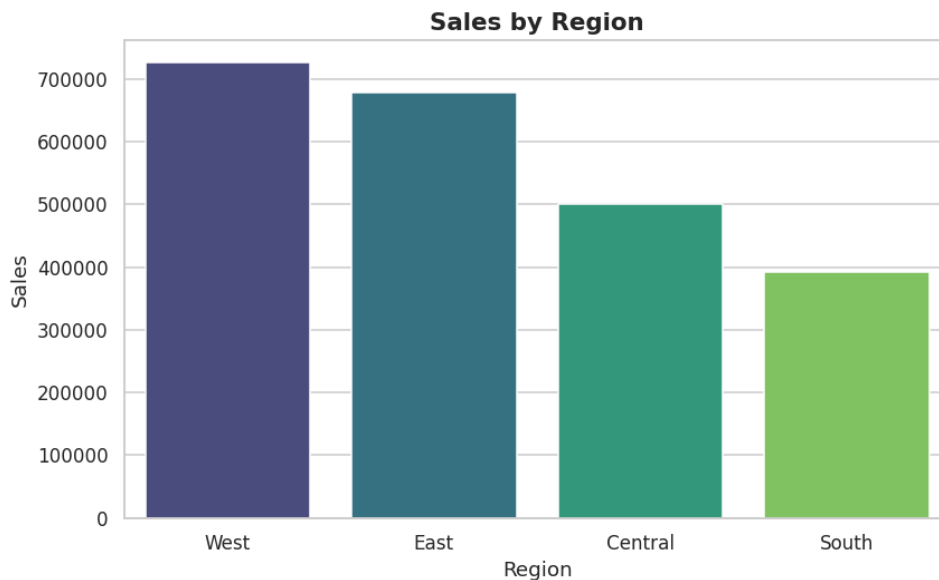
Technology and Office Supplies are the strongest categories by revenue, while Phones and Chairs are the top two sub-categories by sales, both remaining solidly profitable. The **Tables** sub-category, however, is a critical exception: it generates over \$200K in revenue but posts a **negative overall profit**, driven by heavy discounting that erodes margin below the cost of goods sold.



The scatter plot above confirms the pattern across the full dataset: profit margin trends toward zero or negative once discounts exceed roughly 20%, indicating discount thresholds are not being calibrated against product-level cost structure.

3. Regional Sales Analysis

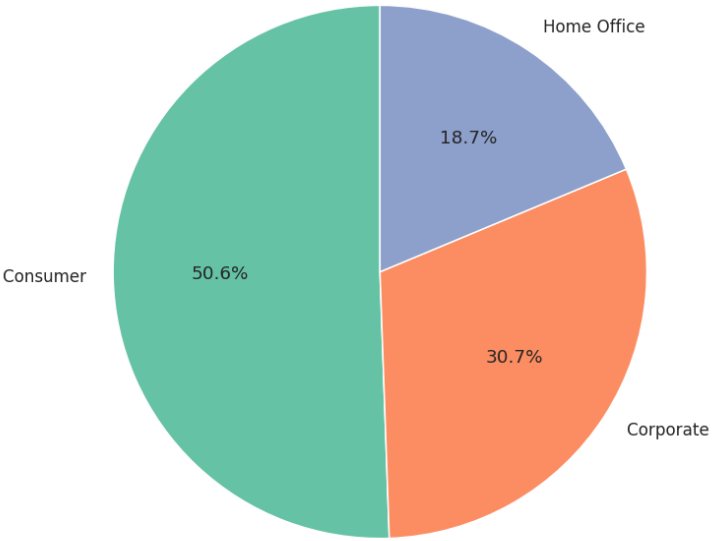
The West region leads in both sales (\$725K) and profit margin (14.9%), closely followed by East (13.5% margin). Central, despite solid order volume, trails significantly with only a 7.9% margin — less than half of the West's rate — suggesting inefficiencies in cost structure, fulfillment, or excessive regional discounting that warrant investigation.



4. Customer Purchasing Behavior

The Consumer segment drives the largest share of total sales (50.6%), followed by Corporate (30.7%) and Home Office (18.7%). Notably, Home Office customers post the **highest average order value** (~\$473) despite being the smallest segment by customer count — a strong signal for targeted upsell or bundle offers aimed at that group.

Sales Share by Customer Segment



5. Key Business Insights

- **Revenue is growing strongly** — sales rose from \$484K (2015) to \$733K (2018), with a consistent Q4 seasonal spike every year tied to holiday demand.
- **Tables are a hidden loss-maker** — over \$200K in sales but a negative overall profit, driven by excessive discounting.
- **Deep discounts destroy margin** — profitability trends toward zero or negative once discounts exceed ~20%.
- **West and East regions drive profitability** — both lead in sales and margin, while Central lags at under 8% margin despite comparable sales volume.
- **Home Office customers have the highest average order value** (~\$473), a clear upsell opportunity despite being the smallest segment.
- **Phones and Chairs are the top revenue sub-categories** and remain healthily profitable — strong candidates for continued marketing investment.

6. Recommendations

- Cap or restructure discounts on Tables and other underperforming sub-categories, or renegotiate supplier costs — they are actively losing money at current discount levels.
- Investigate the Central region's cost and fulfillment structure to close the profit-margin gap with West and East.
- Target the Home Office segment with higher-value bundles and premium offers given their strong average order value.
- Plan Q4 inventory and promotions proactively given the consistent, sizeable seasonal demand spike.
- Set a maximum discount threshold (e.g. 15–20%) tied to product-level margin data to prevent further profit erosion.

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